maritime positions have also made them more open to trade and political relations with other parties. However, proximity and ethnic overlap have necessitated close relations and periodic calls for assistance by Colombo and Malé from New Delhi. India, Sri Lanka, and the Maldives have participated in maritime security initiatives. Cooperation Initiative to facilitate maritime domain awareness in the busy sea lanes surrounding the three countries. While Sri Lanka is not nearly as dependent on trade with India as Nepal and Bhutan, it has become a major transhipment hub, with India now a large export destination for the country. India has also been involved in post-civil conflict reconstruction in northern and eastern Sri Lanka, building housing for refugees, de-mining, and providing transportation equipment and infrastructure. It also provided its largest ever foreign financial loan to Sri Lanka following a major economic crisis in that country in the aftermath of the Covid-19 pandemic.

Despite their many differences, these five countries that constitute India's near neighbourhood—Bhutan, Nepal, Bangladesh, Sri Lanka, and the Maldives—have a few shared characteristics, with implications for their relations with India. One set of issues concerns physical and human geography. India enjoys a significant size disparity over all these neighbours. None are physically connected to each other, which means that regional integration is almost impossible without India. This also sometimes makes differences between these countries more difficult to resolve, such as the statelessness of Nepali-speaking communities who were expelled from Bhutan. [5] Furthermore, there are overlapping ethnic groups between these countries and India: Bengalis in Bangladesh, Tamils in Sri Lanka, and Madhesis in Nepal often have relatives on the Indian side of the border. The ethnic overlap can have domestic political implications in both India and its neighbours.

While these realities have been more or less constant, three major changes have been unfolding in India's near abroad. One is the gradual democratization of India's neighbourhood. [6] In the early 1990s, Bhutan was an absolute monarchy, Nepal was a constitutional monarchy under King Birendra, Bangladesh had semi-military rule under Hussain Muhammed